

EDUCATIONAL PAPER TRADE - NOT INVESTMENT ADVICE

MARKET SNAPSHOT

USD/BRL PTAX midpoint 5.1567 BRL per USD 01 Sep 2026	BRL/USD - 5 observations -0.16% 01 Sep 2026	Selic target 14.00% p.a. 01 Sep 2026
Fed target midpoint 3.625% p.a. 01 Sep 2026	Brazil-US policy differential 10.375 pp 01 Sep 2026	US 2s10s slope +0.39 pp 28 Aug 2026

WHAT CHANGED

- 2026 Focus Selic was unchanged over five observations and fell 0.25 pp over one month; Focus IPCA edged down 0.0102 pp over five observations.
- BRL/USD fell 0.16% over five observations, the inverse of the saved PTAX USD/BRL move, indicating mild BRL weakening.
- The Brazil-US policy differential was unchanged over five business days and narrowed 0.25 pp over one month; US 2s10s flattened 0.11 pp over five observations.

THREE SCENARIOS

Scenario	Copom	FOMC	Differential	Likely initial BRL/USD pressure	Key confirmation
Hawkish relative to expectations	Hold 14.00%; restrictive bias	Hold 3.50%-3.75%; firm guidance	Likely unchanged near 10.38 pp	Likely BRL strength / USD-BRL lower	Focus Selic toward 14.00%; PTAX below 5.09 with US 2Y lower
Base case	Cut 25 bp to 13.75%; cautious	Hike 25 bp to 3.75%-4.00%; data-dependent	Likely narrows 50 bp to 9.88 pp	Likely BRL weakness / USD-BRL higher	Targets imply 9.88 pp; PTAX above 5.22 with US 2Y firm
Dovish relative to expectations	Cut 50 bp to 13.50%; easing bias	Hike 25 bp to 3.75%-4.00%; firm bias	Likely narrows 75 bp to 9.63 pp	Likely BRL weakness / USD-BRL higher	Focus Selic below 13.75%; PTAX above 5.22 with US 2Y higher

ONE CONDITIONAL PAPER TRADE

LONG USD / SHORT BRL

NO CURRENT POSITION - activates only if the entry condition occurs

Thesis:

Enter only on a confirmed upside break in USD/BRL because the exchange-aligned base case narrows the Brazil-US policy differential while recent PTAX, Focus Selic and US 2-year moves already lean in the same direction.

Entry trigger:

A daily PTAX midpoint closes above 5.22, the rounded saved 20-observation high of 5.2233, with US 2Y near or above 4.34% or no widening in the policy differential.

PTAX reference:

5.1567 BRL per USD on 01 Sep 2026.

Invalidation:

After entry, two consecutive PTAX midpoints below 5.16, or a differential still near/above 10.375 pp because Copom does not ease and the FOMC does not hike.

Review zone:

5.35-5.36; saved high 5.2233 + range width 0.1328 = 5.3561, bracketed to adjacent cents.

Horizon / case:

Approximately two to four weeks, spanning the 15-16 September decisions and initial post-meeting repricing. Supporting scenario: Base case.

Principal risks:

1. Copom holds or gives materially hawkish guidance.

2. The FOMC holds or guides dovishly, pulling US 2-year yields and USD lower.

3. Risk-on sentiment, stronger commodities or favorable Brazilian fiscal news supports BRL.

BOTTOM LINE

The trade activates only after a daily PTAX midpoint closes above 5.22 with US 2Y near/above 4.34% or no widening in the Brazil-US policy differential. Abandon the view on two post-entry PTAX midpoints below 5.16, a failure of the differential to narrow, materially lower US 2Y, or the hawkish relative to expectations outcome.

SOURCES AND LIMITATIONS

BCB Focus | BCB PTAX | BCB SGS | Federal Reserve | FRED | CME | B3
PTAX is a reference rate; Focus is survey data. Initial reactions remain conditional on broader risk sentiment, commodities and Brazilian fiscal developments. B3's Copom move is a curve decomposition that ignores term premia, not an exchange probability.
Exchange-pricing audit: CME FedWatch (2026-09-01T02:07:02-05:00): 68.2% 25 bp hike / 31.8% hold. B3 DI1 (2026-08-31): about 20.8 bp of easing across Copom.